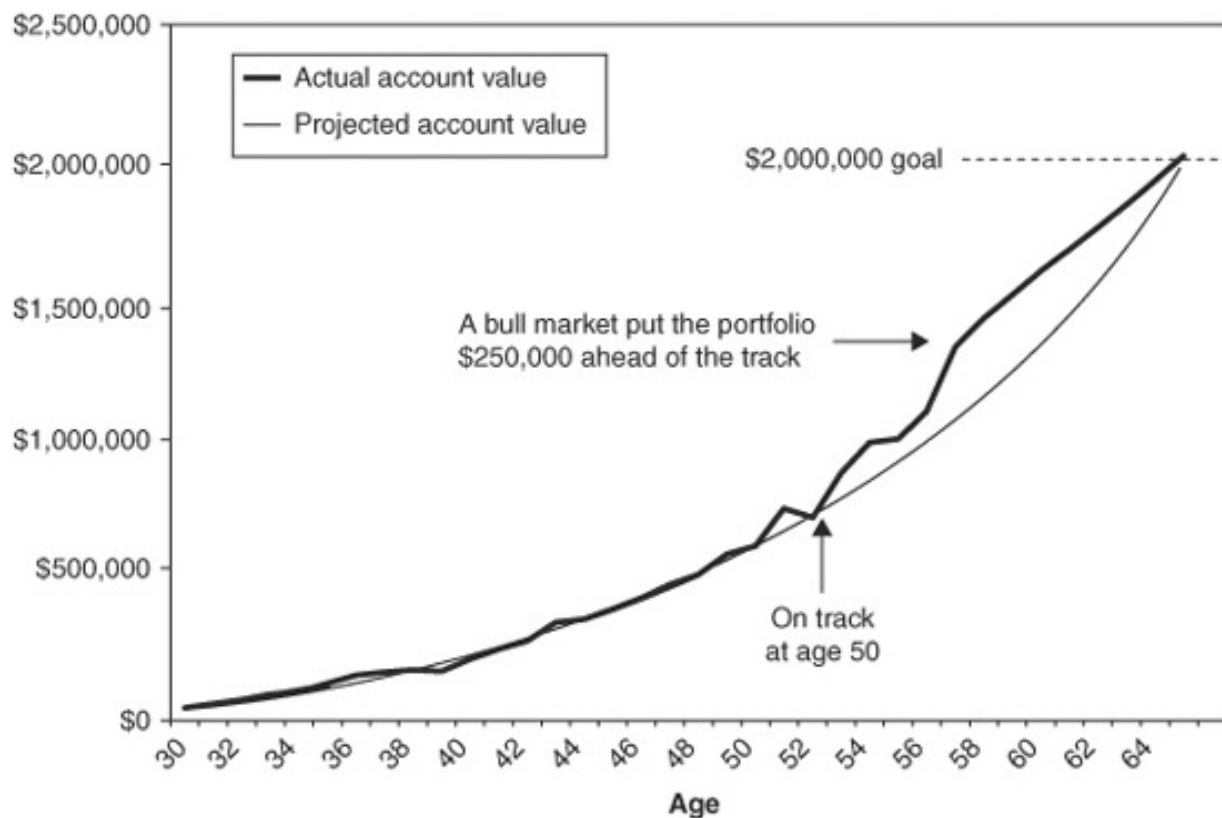


because you no longer need to take as much risk to meet your future liabilities and goals.

FIGURE 14-1

Reducing Risk as an Investment Goal Becomes More Easily Attainable



[Figure 14-1](#) illustrates the idea of reducing risk. There are two value projections in the figure: (1) a projected account value for an investor who starts at age 30 with \$30,000 and assumes savings of \$1,000 per month and a 7 percent annual growth rate, (2) the actual account value of the investor based on actual financial market returns.

The projected account value in [Figure 14-1](#) is the same as the actual account value at age 52. However, a bull market in stocks over the next five years drove the actual account value \$250,000 above the projected account value by age 57. This gives the investor the option to significantly reduce risk in the portfolio and still meet his or her \$2 million goal by age 65. If an investor was using 60 percent stocks through age 57, he or she could cut that in half to 30 percent in stocks and still make the \$2 million number.